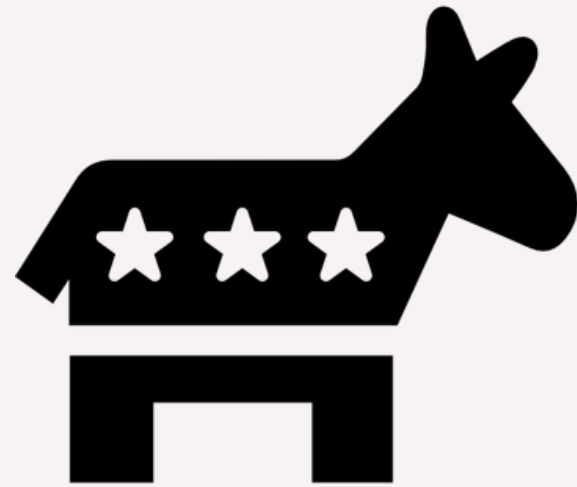


Does a US State's Choice of President Affect their Unemployment Rate

By:

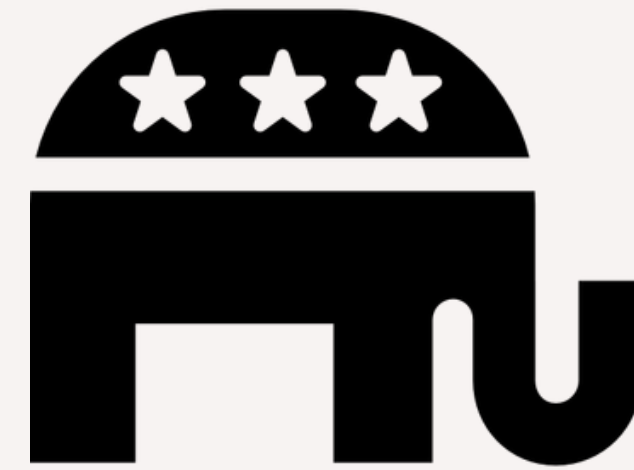
Winiera Sutanto (3035964671)

In the US, the two parties have different views on policies



Democratic

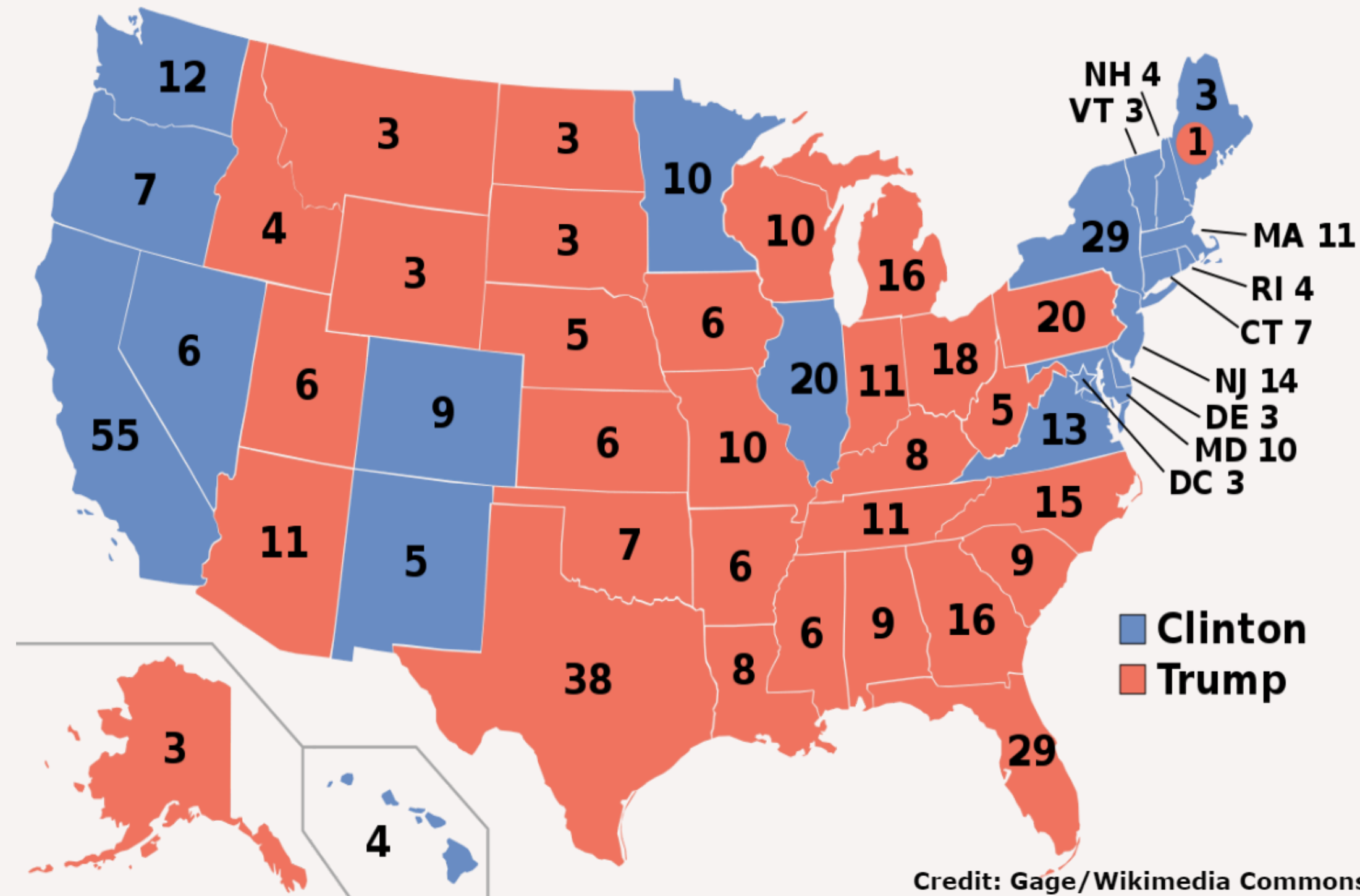
- Progressive Taxation
- Regulation of industries
- Increased government intervention



Republican

- Broad tax cuts
- Deregulation
- Limited government intervention

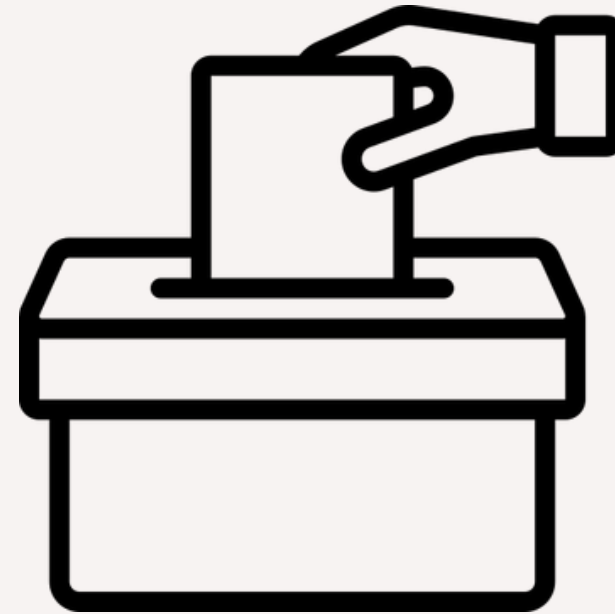
The US uses the electoral college system, which causes Red and Blue state



Logic Chain



Political parties
have different
policies



State residents vote
for parties that have
better policies for
them



States whose winning
party aligns with
president's will have
lower unemployment

Unemployment Dataset

FRED[®]



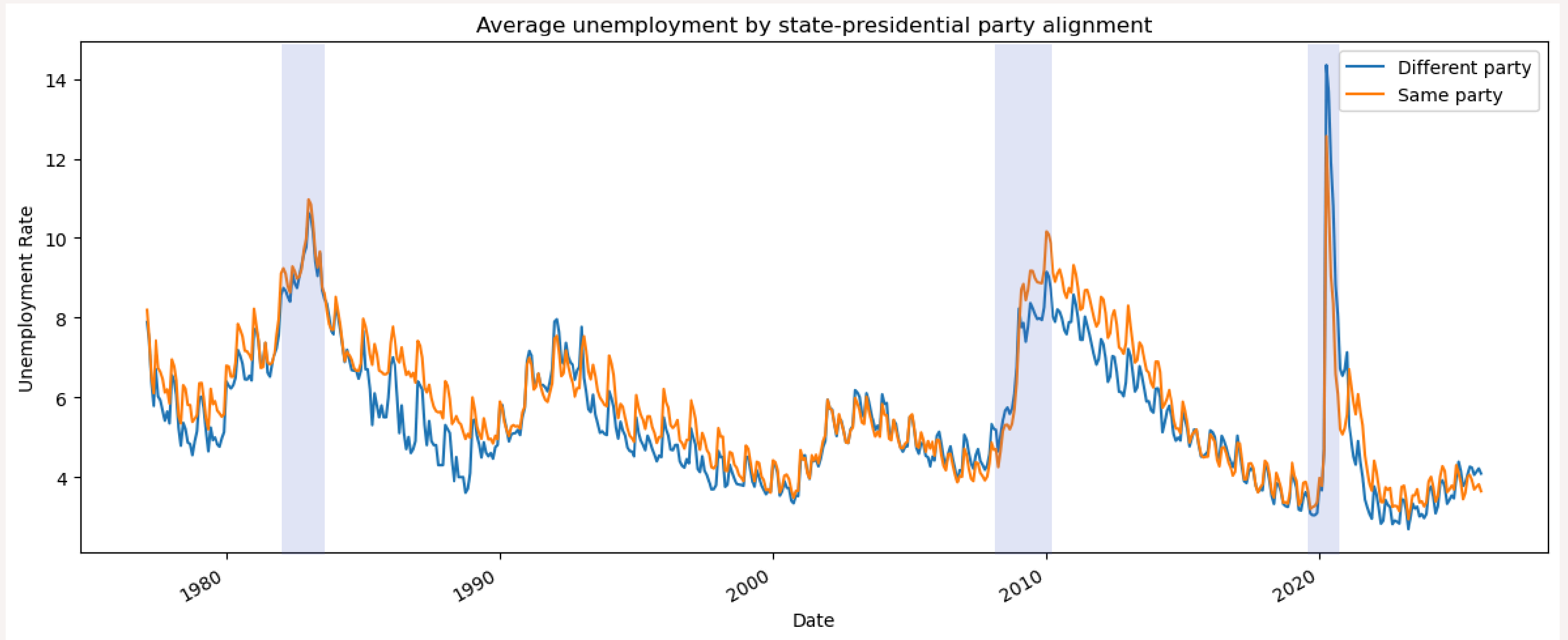
Your trusted source for economic data since 1991.

- 1976–2025
- State Monthly Unemployment rate

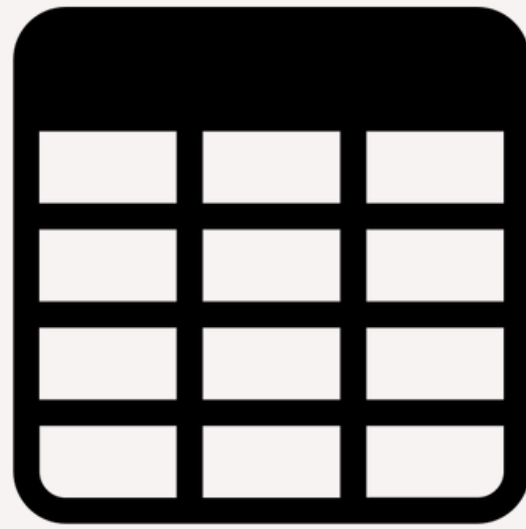
Unemplyoment Dataset

	State	Date	Unemployment_Rate	State_Party	Presidential_Party	Start_Date	End_Date
0	Alabama	1977-02	8.1	D	D	1977-01-20	1981-01-20
1	Kansas	1977-02	4.6	R	D	1977-01-20	1981-01-20
2	Iowa	1977-02	5.1	R	D	1977-01-20	1981-01-20
3	South Dakota	1977-02	4.9	R	D	1977-01-20	1981-01-20
4	Indiana	1977-02	7.0	R	D	1977-01-20	1981-01-20
...	...	...	...	...	...	...	...
29295	New Hampshire	2025-12	3.0	D	R	2025-01-20	2029-01-20
29296	Nevada	2025-12	4.9	R	R	2025-01-20	2029-01-20
29297	Nebraska	2025-12	3.0	R	R	2025-01-20	2029-01-20
29298	Mississippi	2025-12	3.1	R	R	2025-01-20	2029-01-20
29299	Wyoming	2025-12	3.6	R	R	2025-01-20	2029-01-20

In general, different/same party shows the same trend



Analysis Procedure



Multiple Entities
(States)



Panel Data
Regression

Effect of same
political party on
unemployment rate

Time-Series

Panel Data Formula

$$\text{Unemployment} = \text{same_party} * \alpha + \text{EntityEffects} + \text{TimeEffects} + \text{Constant}$$

same_party:

- 0 if State Party $\neq$ President Party
- 1 if State Party $=$ President Party

α : Effect of same_party on
unemployment

Entity and Time Effects:

- Controls variables constant over time
- Controls variables that change over time
- Helps deal with Omitted Variable Bias

States with the same party have higher unemployment,
but not statistically significant

Same Party:
0.1072% higher
unemployment rate



P-Value = $0.1555 > 0.05$

Not statistically
significant in determining
unemployment rate

Even with time-lag the results are not statistically significant

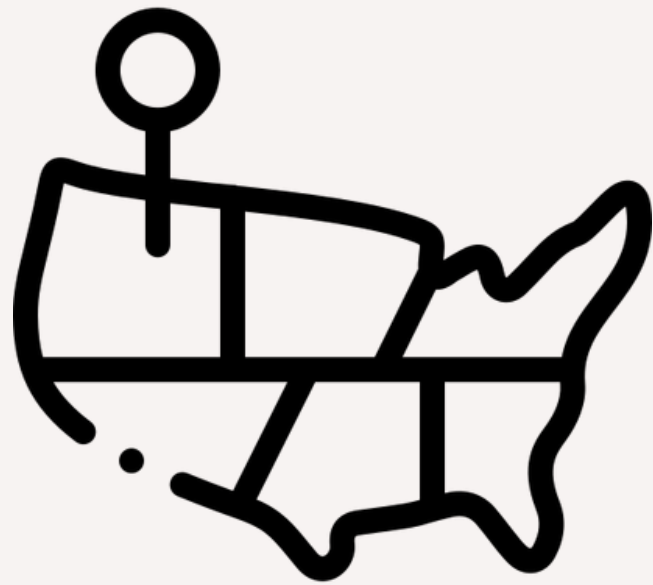
Shift Amount	Effect	P-Value
1 Year	0.0756	0.1905
2 Years	-0.0461	0.2036
3 Years	-0.0689	0.2953

All P-Value > 0.05

Not statistically significant in determining unemployment rate

Shifted same_party to analyse how many years under the same party

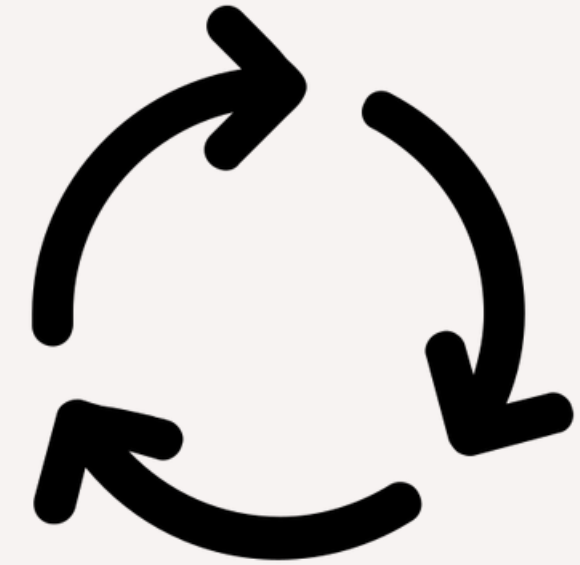
Potential Explanation of Results



States can be viewed as “small open economies”

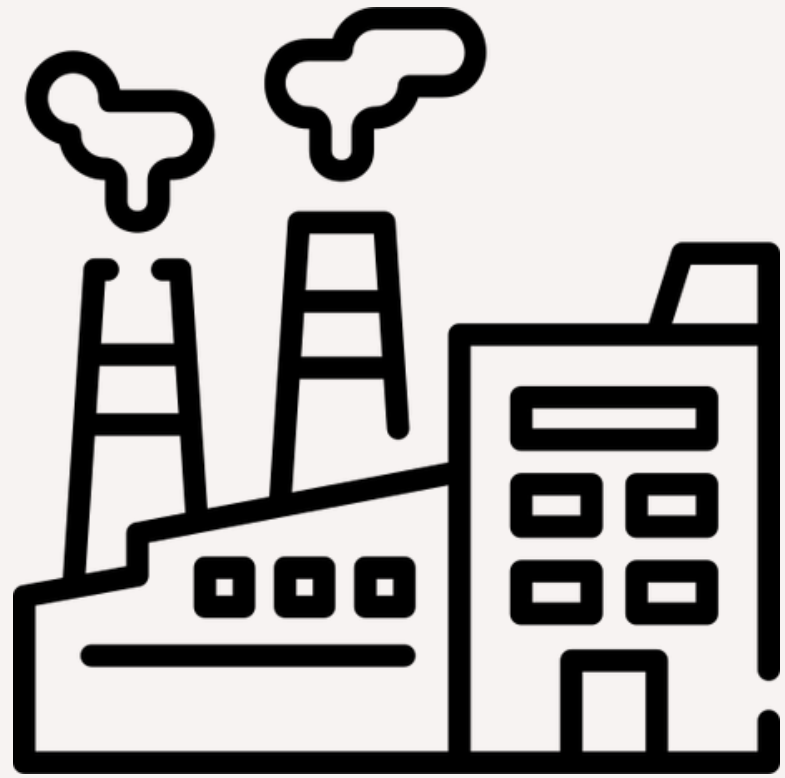


Cannot affect fiscal/monetary policy

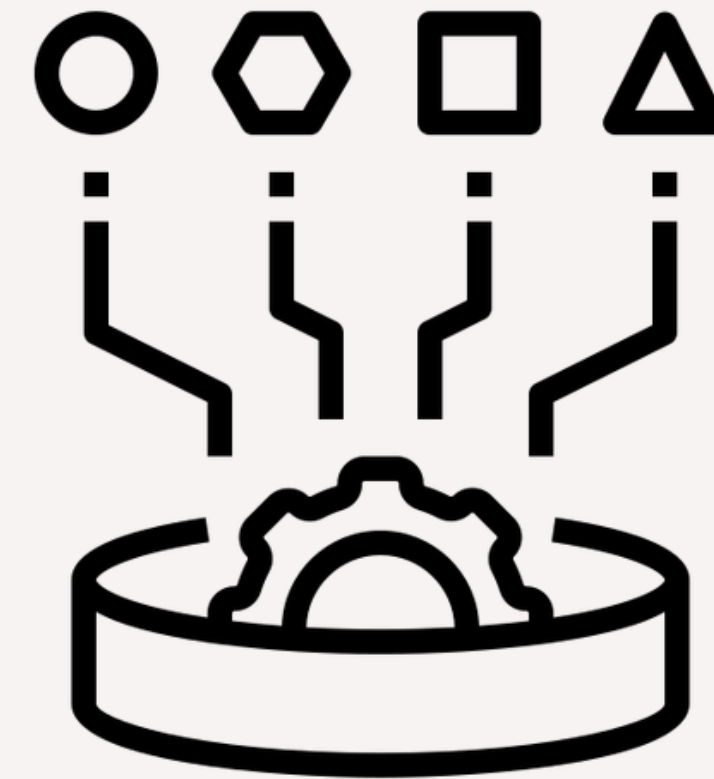


Affected by national cycle

Future Research



Industry make-up
could be a
potential avenue



More factors can
be implemented

THANK YOU